Brewery Performance Analysis

4 Strategic Conclusions for Management Action

Based on comprehensive analysis of 1,047 sales records across 5 West African countries, 7 beer brands, and 3 years (2017-2019), this report distils the data into four high-impact, actionable conclusions for the brewery's senior leadership.

SCOPE OF ANALYSIS

- Time Period: 2017 - 2019 (3 full years)
- Territories: Anglophone (Ghana, Nigeria) & Francophone (Togo, Benin, Senegal)
- Brands: Budweiser, Castle Lite, Eagle Lager, Beta Malt, Grand Malt, Hero, Trophy
- Total Profit Analyzed: N105.6 Million across 1,047 transactions

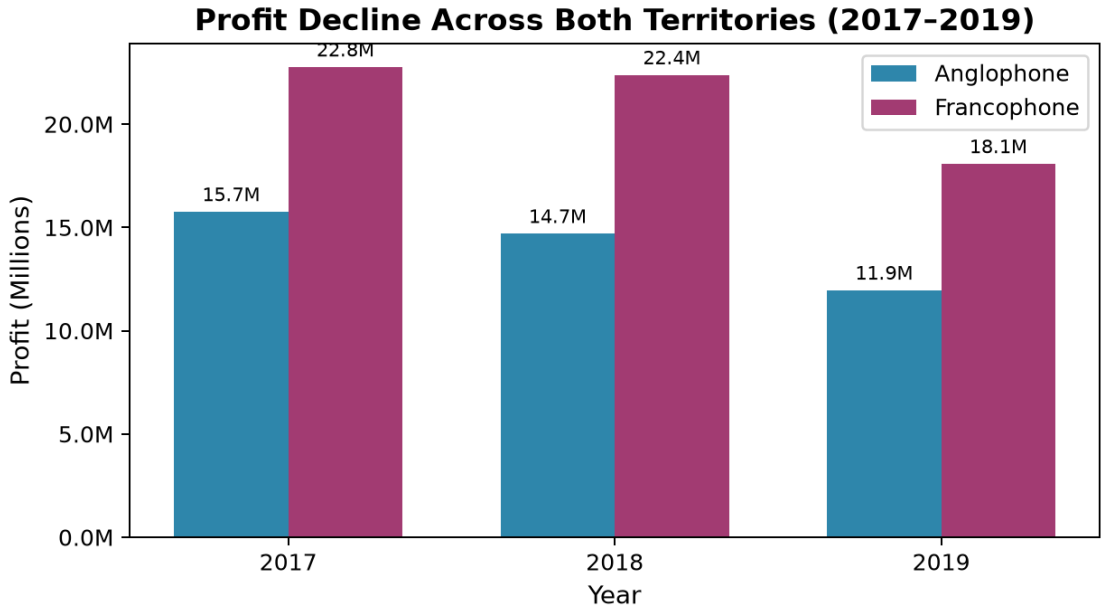
CONCLUSION 1

Profitability Is in Accelerating Decline - Urgent Intervention Required

The brewery's total profit has fallen for two consecutive years, and the rate of decline is accelerating dangerously. Profit dropped 3.7% from 2017 to 2018, then plunged 19.0% from 2018 to 2019. In absolute terms, the company lost N8.5 million in annual profit over just two years - declining from N38.5M in 2017 to N30.0M in 2019.

This is not a localized issue. Both territories are contracting simultaneously: Anglophone profits fell 18.7% and Francophone profits fell 19.2% in the latest year. When decline is this uniform and this steep, it signals a structural problem - not a temporary blip.

Metric	2017	2018	2019	Change
Total Profit	N38.5M	N37.1M	N30.0M	-22.0%
Anglophone	N15.7M	N14.7M	N11.9M	-24.1%
Francophone	N22.8M	N22.4M	N18.1M	-20.6%



RECOMMENDED ACTION: Launch an immediate profitability task force. Commission a cost audit across all plants and territories. The 19% single-year decline suggests rising plant costs, pricing pressure, or volume erosion that must be diagnosed and arrested before 2020 planning.

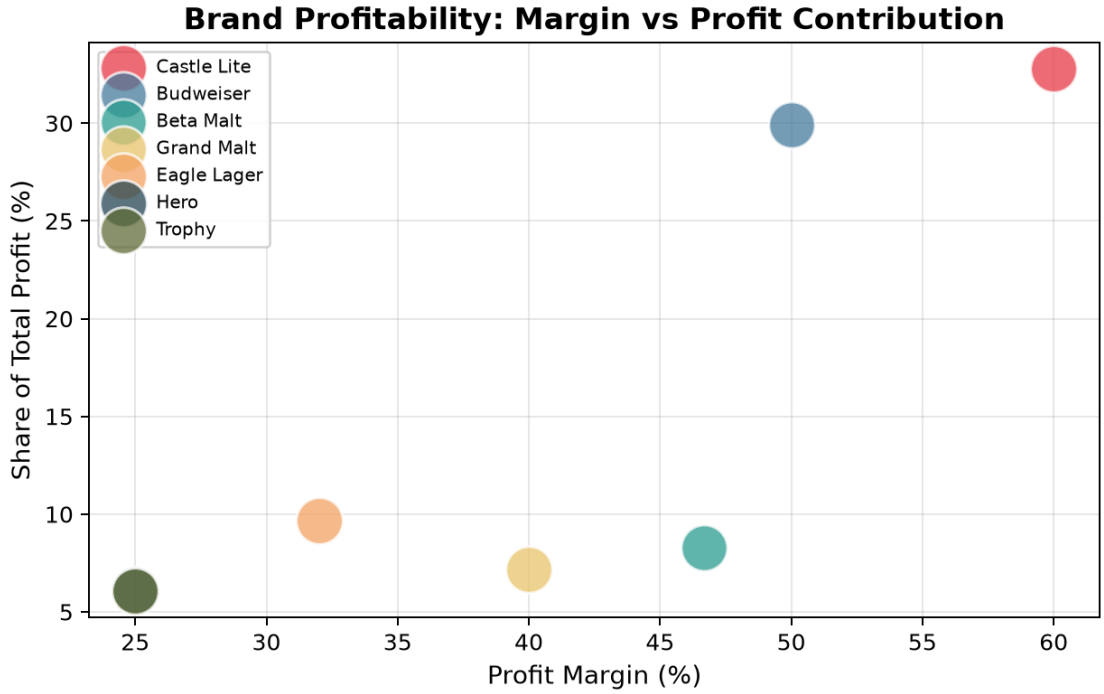
CONCLUSION 2

Castle Lite and Budweiser Are the Profit Engine - Double Down on Them

Just two of the seven brands - Castle Lite and Budweiser - generate a combined 62.7% of the brewery's entire profit, despite accounting for only about 28.6% of total units sold. This extraordinary concentration is driven by their vastly superior profit margins: Castle Lite operates at a 60% margin and Budweiser at 50%, while the remaining five brands languish between 25% and 47%.

Castle Lite alone contributes N34.6M (32.8% of all profit), making it the single most valuable asset in the portfolio. Budweiser follows closely at N31.6M (29.9%). By contrast, Hero and Trophy - despite strong sales volumes - deliver only 25% margins and contribute just 6% of profit each. Every unit of Hero or Trophy sold instead of Castle Lite represents a significant margin opportunity cost.

Brand	Margin	Profit	% of Total
Castle Lite	60.0%	N34.6M	32.8%
Budweiser	50.0%	N31.6M	29.9%
Eagle Lager	32.0%	N10.2M	9.7%
Beta Malt	46.7%	N8.8M	8.3%
Grand Malt	40.0%	N7.6M	7.2%
Hero	25.0%	N6.5M	6.1%
Trophy	25.0%	N6.4M	6.1%



RECOMMENDED ACTION: Reallocate marketing spend and sales incentives to aggressively grow Castle Lite and Budweiser volume. Evaluate whether Hero and Trophy warrant continued investment at current levels, or whether production capacity should shift toward higher-margin SKUs. A 10% volume shift from low-margin to high-margin brands could add N3-4M in annual profit.

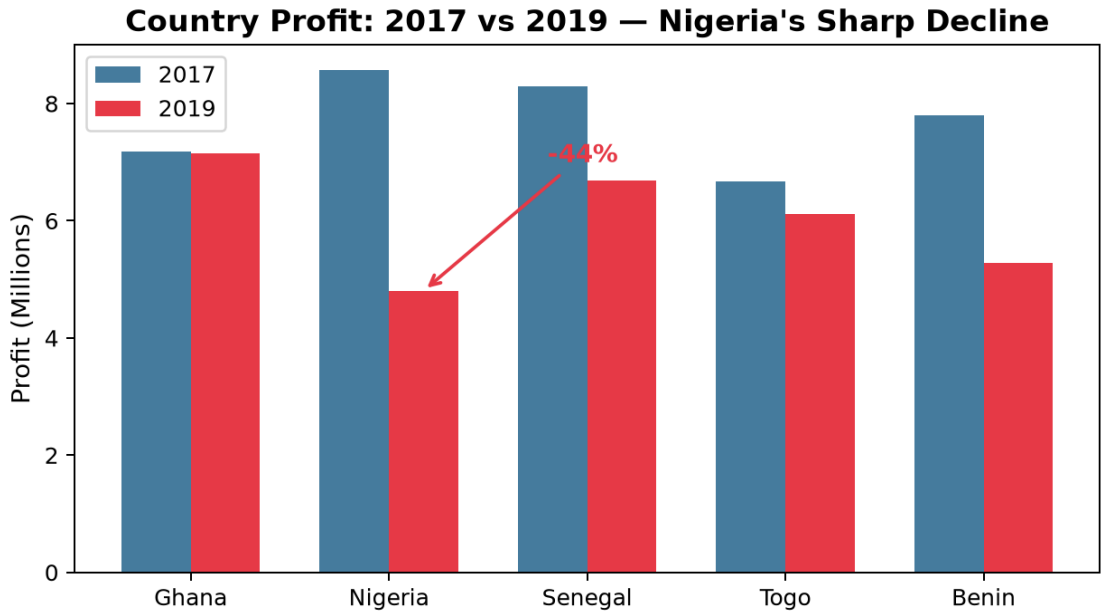
CONCLUSION 3

Nigeria Has Collapsed from #1 to #5 in Profit - Requires a Dedicated Turnaround Plan

Nigeria - the brewery's largest market by historical standards - has experienced a catastrophic profit collapse. In 2017, Nigeria was the top-performing country generating N8.6M in profit. By 2019, it had fallen to dead last among all five countries with just N4.8M - a staggering 44% decline in two years.

To put this in perspective: Nigeria alone accounts for N3.8M of the company's total N8.5M profit decline. In other words, nearly half of the brewery's overall profitability erosion is attributable to a single country. Meanwhile, Ghana rose from 4th to 1st place in 2019, suggesting the Anglophone decline is overwhelmingly a Nigeria-specific problem rather than a territory-wide issue.

Within Nigeria, Budweiser remains the top revenue brand (N2.7M in 2019), and the Northwest region leads Budweiser consumption. However, even these strengths were insufficient to prevent the overall profit meltdown, pointing to cost structure or competitive issues unique to the Nigerian market.



Nigeria's Fall	2017	2019	Impact
Profit	N8.6M (#1 country)	N4.8M (#5 country)	-44% decline
Share of total loss	-	-	45% of all lost profit

RECOMMENDED ACTION: Appoint a dedicated Nigeria turnaround manager. Conduct a root-cause analysis covering: (a) competitive landscape changes, (b) distribution channel effectiveness by region, (c) plant cost inflation, and (d) pricing competitiveness. Prioritize Budweiser promotions in the Northwest region where consumption is strongest, and consider a targeted promotional campaign to regain lost market share.

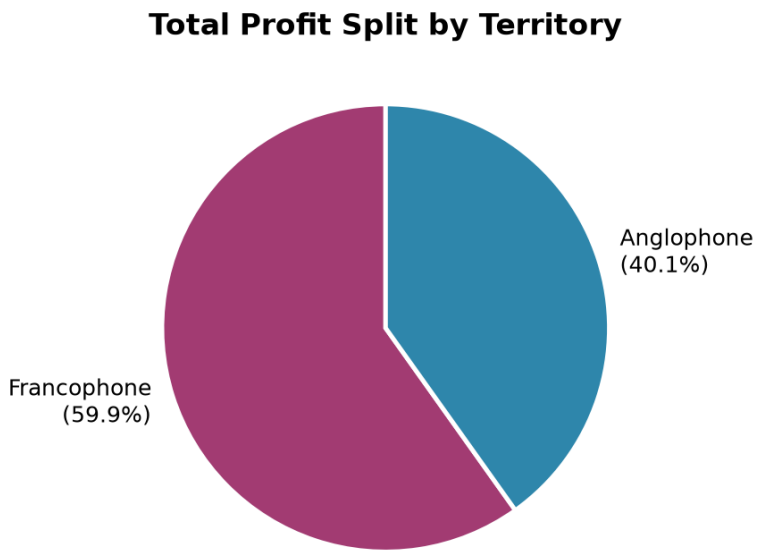
CONCLUSION 4

Francophone Markets Are More Profitable and More Resilient - Expand Investment There

The Francophone territory (Togo, Benin, Senegal) consistently outperforms the Anglophone territory (Ghana, Nigeria) by a wide margin. Francophone generates 59.9% of total profit versus just 40.1% for Anglophone - despite serving three countries versus two. This 20-point gap has persisted across all three years of data.

Within Francophone markets, Castle Lite and Budweiser dominate even more decisively. In Senegal alone, Castle Lite generated N7.0M and Budweiser N6.5M - together representing 62% of Senegal's entire profit. Senegal has also shown relative resilience, declining only 19% versus Nigeria's 44% collapse.

The data also reveals that Francophone consumers show a clear preference for premium brands. The top three brands consumed in Francophone countries over 2018-2019 are Castle Lite (N13.6M profit), Budweiser (N11.6M), and Eagle Lager (N4.1M) - all higher-margin products. This consumer preference for premium products creates a structurally more profitable market.



Territory Comparison	Francophone	Anglophone
Total 3-Year Profit	N63.2M (59.9%)	N42.4M (40.1%)
2019 Profit	N18.1M	N11.9M
Number of Countries	3 (Togo, Benin, Senegal)	2 (Ghana, Nigeria)
Top Brand Preference	Castle Lite (60% margin)	Budweiser (50% margin)

RECOMMENDED ACTION: Increase sales and distribution investment in Francophone territories, particularly Senegal and Togo. Expand Castle Lite's footprint - it has the highest margin (60%) and the strongest consumer pull across Francophone markets. Consider rebalancing the territory manager Mr. Fish's resource allocation to favor Francophone expansion while the Nigeria turnaround is underway. Explore potential new Francophone markets (e.g., Cameroon, Ivory Coast) where the premium brand positioning could replicate success.